

This is where DFA's target-date retirement income funds enter the scene as an alternative to traditional TDFs. These funds share the same philosophy as TDFs preretirement in terms of accounting for the relative size of human capital and financial capital over time and reducing the stock allocation as human capital decreases with age. A globally diversified portfolio of stocks and bonds is designed to grow the portfolio and the sustainable income base. But rather than transitioning from stocks into duration-mismatched nominal bonds as the target date approaches, DFA's funds transition into a portfolio of TIPS with the same duration as a twenty-five-year real spending objective beginning at the target date. This allows the investments to better lock in an inflation-adjusted income stream for retirement. It also provides a more effective way for typical TDF investors to support their retirement spending by managing the risks related to inflation and interest rate fluctuations, while still leaving some assets to focus on growth.

Exhibit 7.8 provides a generalized illustration for the allocation of household wealth over the investor's lifetime using target-date retirement income funds. When the investor is far from the target date, household wealth is presumably held primarily as human capital—that is, future labor earnings. For the smaller investment portfolio, the asset allocation focuses on growth, primarily with global equities. For example, at the end of 2016, DFA's 2060 Target Date Retirement Income Fund was invested 94 percent in global equities and 6 percent in global bonds and other assets. As the retiree gets within twenty-five years of the target date, global equities begin to give way to more fixed income, and this is when the TIPS investments play a larger role. For instance, DFA's 2030 target-date retirement income fund had an allocation of 60 percent global equities, 15 percent global bonds, and 25 percent TIPS by the end of 2016. At the target date, asset allocation is designed to be 25 percent global equities and 75 percent TIPS. There are no global bonds at this point. Human capital is also depleted, and household wealth is primarily held in the investment portfolio. The equity allocation still seeks wealth growth to support more future income, while the fixed-income assets are specifically designed to support a twenty-five-year inflation-adjusted spending objective.

*Exhibit 7.8*